Ng et al. v. Beline et al.

[Indexed as: Ng v. Beline]

95 O.R. (3d) 71

Ontario Superior Court of Justice,
Perell J.
October 8, 2008*

* This judgment was recently brought to the attention of the editors.

Limitations -- Motor vehicles -- Damages occasioned by motor vehicle -- Claim for pecuniary damages arising out of automobile accident that was brought outside limitation period not statute-barred where claim for non-pecuniary damages was not discoverable within limitation period.

The plaintiff claimed both pecuniary and non-pecuniary damages in an action arising out of a motor vehicle accident. In order to recover non-pecuniary damages, the plaintiff was required to suffer a "permanent serious impairment of an important physical, mental or psychological function". The pecuniary damage claims were subject to no such threshold. The defendants brought a motion for partial summary judgment, submitting that there was no genuine issue for trial that the plaintiff's claims for pecuniary damages were statute-barred by operation of ss. 4 and 5 of the Limitations Act, 2002, S.O. 2002, c. 24, Sch. B.

Held, the motion should be dismissed. [page72]

Very shortly after the accident, the plaintiff knew that she had suffered pecuniary damage caused by the accident and she knew the identity of the tortfeasor, but she did not commence the action until more than two years after the time of her discovery of her pecuniary damages. However, that did not mean that the claims for pecuniary damages were statute-barred. While there are separate causes of action for pecuniary and non-pecuniary losses under the Insurance Act, R.S.O. 1990, c. I.8 scheme for automobile accident claims, each cause of action is not subject to an independent limitation period analysis. A plaintiff with a motor vehicle accident claim should receive the most favourable treatment possible. Accordingly, the measure of whether he or she has a claim is governed by the discoverability of the claim for non-pecuniary damages. Otherwise, accident victims in virtually every case would be required to sue within two years of an automobile accident to protect their potential pecuniary and potential non-pecuniary claims without waiting to see if there was a worthwhile non-pecuniary claim. As there was a genuine issue for trial in this case about whether the claim for non-pecuniary damages was statute-barred, there was a genuine issue for trial about the non-threshold claims for pecuniary damages.

Cases referred to

Chenderovitch v. John Doe, [2004] O.J. No. 681, 183 O.A.C. 284, 8 C.C.L.I. (4th) 1, 44 C.P.C. (5th) 243, 48 M.V.R. (4th) 190, 129 A.C.W.S. (3d) 596 (C.A.); Peixeiro v. Haberman, [1997] 3 S.C.R. 549, [1997] S.C.J. No. 31, 151 D.L.R. (4th) 429, 217 N.R. 371, J.E. 97-1825, 103 O.A.C. 161, 46 C.C.L.I. (2d) 147, 12 C.P.C. (4th) 255, 30 M.V.R. (3d) 41, 74 A.C.W.S. (3d) 117, consd

Other cases referred to

Burke-Smith v. Sun (2003), 64 O.R. (3d) 525, [2003] O.J. No. 1566, [2003] O.T.C. 346, 39 M.V.R. (4th) 133, 122 A.C.W.S. (3d) 568 (S.C.J.); Central Trust Co. v. Rafuse, [1986] 2 S.C.R. 147, [1986] S.C.J. No. 52, 31 D.L.R. (4th) 481, 69 N.R. 321, 75 N.S.R. (2d) 109, [1986] R.R.A. 527, 34 B.L.R. 187, 37 C.C.L.T. 117, 42 R.P.R. 161, 1 A.C.W.S. (3d) 294; Fuller v. McCartney (2003), 63 O.R. (3d) 393, [2003] O.J. No. 545, 34 M.V.R. (4th) 198, 120 A.C.W.S. (3d) 225 (S.C.J.); Kamloops (City) v. Nielsen, [1984] 2 S.C.R. 2, [1984] S.C.J.

No. 29, 10 D.L.R. (4th) 641, 54 N.R. 1, [1984] 5 W.W.R. 1, J.E. 84-603, 66 B.C.L.R. 273, 11 Admin. L.R. 1, 29 C.C.L.T. 97, 8 C.L.R. 1, 26 M.P.L.R. 81; M. (K.) v. M. (H.), [1992] 3 S.C.R. 6, [1992] S.C.J. No. 85, 96 D.L.R. (4th) 289, 142 N.R. 321, J.E. 92-1644, 57 O.A.C. 321, 14 C.C.L.T. (2d) 1, 36 A.C.W.S. (3d) 466

Statutes referred to

Family Law Act, R.S.O. 1990, c. F.3

Insurance Act, R.S.O. 1990, c. I.8

Limitations Act, 2002, S.O 2002, c. 24, Sch. B, ss. 4, 5, (1) (a), (2)

MOTION by the defendants for a partial summary judgment.

Sue Chen, for plaintiffs.

Zevi Rosenzweig, for defendants.

[1] Perell J.: -- This is a negligence action as a result of an automobile accident. It is governed by the Insurance Act, R.S.O. 1990, c. I.8, as amended. In particular, it is governed by what is known as the Bill 198 scheme. Under that scheme, an accident victim's claims for non-pecuniary damages are treated differently than his or her claims for pecuniary damages arising from the [page73]same car accident. This motion for a partial summary judgment raises the question of how this difference in treatment affects the operation of the Limitations Act, 2002, S.O. 2002, c. 24, Sch. B.

[2] Under Bill 198, non-pecuniary damages are unrecoverable unless the victim's injuries are serious or substantial enough to satisfy a rigorous statutory test that establishes a "threshold" for any recovery at all. To recover damages for pain and suffering, the plaintiff must suffer a "permanent serious impairment of an important physical, mental or psychological function". The plaintiff's pecuniary claims, however, are not subject to a threshold, which had been the case in an earlier iteration of Ontario's no-fault automobile

insurance scheme.

[3] Under Bill 198, although pecuniary claims are not subject to a threshold, the Bill 198 scheme minimizes the instances of pecuniary claims by offering statutory accident benefits and by imposing a $30,000 deductible for pecuniary losses not covered by accident benefits. Moreover, if a plaintiff does sue for pecuniary losses, he or she must give credit for the accident benefits and, thus, unless there is a substantial difference between the pecuniary losses and the statutory benefits, a lawsuit for just the pecuniary losses may not be worthwhile.

[4] The question raised by this motion for a partial summary judgment is: When a person is injured in an automobile accident and suffers both (a) pecuniary (special) damages, which are not subject to any statutory threshold, and also (b) non-pecuniary damages, which are subject to a statutory threshold, is a claim for pecuniary damages statute-barred if the person's action is commenced more than two years after the discoverability of the claim for pecuniary damages?

[5] This question arises because of the Court of Appeal's holding, at para. 23, in Chenderovitch v. John Doe, [2004] O.J. No. 681, 183 O.A.C. 284 (C.A.). In that judgment written by Justice Moldaver, the court held that with the amendments to its automobile accident legislation, the legislature intended to draw a distinction that the common law does not recognize; namely, the legislature created separate causes of action arising out of the same act of negligence. By their motion for a partial summary judgment, the defendants seek to test the legal significance of this holding in Chenderovitch.

[6] In the case at bar, the defendants, Alexandre Beline and Durham Regional Municipality, move for a partial summary judgment, and they submit that there is no genuine issue for trial that the claims of the plaintiffs, Marian Ng and Kong Tsang, for pecuniary damages (loss of income, loss of competitive advantage, loss of earning capacity and/or incurred housekeeping losses or loss of housekeeping/home maintenance capacity) are [page74]statute-barred by operation of ss. 4 and 5 of the Limitations Act. The defendants reserve for trial

their defence that the non-pecuniary damage claims are also statute-barred.

[7] On June 18, 2004, Ms. Ng, who is married to Mr. Tsang, was injured when her vehicle was rear-ended by a police cruiser driven by the defendant Beline. Ms. Ng commenced her action on October 3, 2006. In her statement of claim, Ms. Ng claims non-pecuniary damages, and she claims that she suffered a loss of competitive advantage in the employment field; loss of income earning potential; and diminution of income earning capacity. Mr. Tsang, who originally made a claim under the Family Law Act, R.S.O. 1990, c. F.3, has abandoned his claims, and thus his claims need no longer be considered.

[8] The defendants plead that Ms. Ng's action is statute-barred because it was commenced outside of the applicable two-year limitation period. Under the Limitations Act, 2002, the limitation period for commencing an action for personal injuries arising from a motor vehicle accident is two years from the discovery of the claim. Sections 4 and 5 of the Act state:

> Basic limitation period
>
> 4. Unless this Act provides otherwise, a proceeding shall not be commenced in respect of a claim after the second anniversary of the day on which the claim was discovered.
>
> Discovery
>
> 5(1) A claim is discovered on the earlier of,
>
> (a) the day on which the person with the claim first knew,
>
> (i) that the injury, loss or damage had occurred,
>
> (ii) that the injury, loss or damage was caused by or contributed to by an act or omission,
>
> (iii) that the act or omission was that of the person against whom the claim is made, and
>
> (iv) that, having regard to the nature of the injury, loss or damage, a proceeding would be an appropriate means to seek to remedy it; and

(b) the day on which a reasonable person with the abilities and in the circumstances of the person with the claim first ought to have known of the matters referred to in clause (a).

[9] Separating the pecuniary claims from the non-pecuniary claims, the defendants submit there is no genuine issue for trial that within days of the accident, Ms. Ng knew or ought to have known that she had a claim for pecuniary losses. During her examination for discovery, Ms. Ng testified that her ability to do [page75]housekeeping stopped after the accident. She was unable to work on the day of the accident, and shortly thereafter, she was off work until the end of 2004, when she attempted to return to work. That attempt failed, and there was another unsuccessful attempt to resume work in August 2006. After the accident, Ms. Ng received accident benefits of $347.90 per week, which is the amount stipulated under the Insurance Act, namely, 80 per cent of her net pre-accident income. The accident benefits were made pursuant to the legislation for automobile insurance claims, and she received income replacement from one week after the accident. She was obviously aware that the car accident was the basis for making a claim for compensation for pecuniary losses.

[10] Ms. Ng denies that the action is statute-barred. She says that she did not know until April 16, 2007 that her injuries were serious enough to satisfy the threshold test for non-pecuniary claims.

[11] Putting aside for the moment the effect of the various iterations of the Insurance Act's no-fault automobile insurance schemes and the Court of Appeal's holding in Chenderovitch v. John Doe and applying classical principles about the operation of limitation periods and the well-known law about motions for summary judgment, I believe that there is no genuine issue for trial that Ms. Ng and Mr. Tsang's action would be statute-barred.

[12] I hasten to add that this is not my ultimate conclusion, which is to dismiss the motion for a partial summary judgment. But, applying former law about negligence claims and limitation

periods, when Ms. Ng's vehicle was struck, she had a single cause of action for negligence with various heads of damages, some pecuniary (special damages) and some non-pecuniary (general damages). The former law is that there is one cause of action for damages and that the limitation period begins to run when the plaintiff has suffered some damages. Under the common law, ignorance of the type or extent of one's damages did not prevent the clock from ticking on a limitation period. Under the common law, once a plaintiff knows that some damage has occurred and has identified the tortfeasor, the cause of action has accrued and the limitation period begins to run.

[13] However, in Peixeiro v. Haberman, [1997] 3 S.C.R. 549, [1997] S.C.J. No. 31, the Supreme Court of Canada held that the former law about the running of limitation periods did not apply under Ontario's no-fault automobile accident insurance scheme.

[14] Here, it is important to note that in Peixeiro, the Supreme Court was concerned about a scheme under which both pecuniary and non-pecuniary claims arising from an automobile accident were subject to the threshold test. In Peixeiro, the Supreme Court held that the limitation period for commencing [page76]an action for negligence arising from an automobile accident would commence to run when the plaintiff knew or ought to have known that he or she had a claim that satisfied the threshold test. This was an application of the discoverability principle that holds that a limitation period does not begin to run until the plaintiff knows or ought to know that he or she has a cause of action. Discoverability is a general rule applied to limitation period statutes to avoid the injustice of precluding an action before the person is capable of raising it: Kamloops (City) v. Nielsen, [1984] 2 S.C.R. 2, [1984] S.C.J. No. 29; Central Trust Co. v. Rafuse, [1986] 2 S.C.R. 147, [1986] S.C.J. No. 52.

[15] The Ontario legislature, however, changed its no-fault scheme after the Peixeiro judgment, and the issue that confronted the Court of Appeal in Chenderovitch v. John Doe, supra, was what effect the changes had to the operation of limitation periods.

[16] In Chenderovitch, the Court of Appeal considered limitation periods and a scheme known as Bill 59. That scheme is different from the Bill 198 scheme now before the court, but the differences are not relevant to the problem to be solved in the case at bar. Both the Bill 59 scheme and the Bill 198 scheme differentiate between non-pecuniary claims, which are subject to the threshold, and pecuniary claims, which are not subject to a threshold but which are subject to a deductible and a deduction for accident benefits received by the plaintiff. Both parties to the case at bar agree that I am bound by the judgment in Chenderovitch.

[17] As both parties in the case at bar would agree, as a result of the Court of Appeal's judgment in Chenderovitch v. John Doe, supra, the former common law about the operation of limitation periods no longer applies. The parties differ, however, as to how the law about the operation of limitation periods is to be applied to claims under Bill 198.

[18] The defendants note that the effect of the Chenderovitch judgment is that the Court of Appeal recognized that versions of the Insurance Act that impose a threshold for some but not all types of claims for damages change the common law and creates two separate causes of action arising from one instance of negligence, namely, a cause of action for pecuniary damages (which is not subject to a threshold) and a cause of action for non-pecuniary damages (which is subject to a threshold), and from this premise, the defendants argue that it logically follows that each cause of action will receive its own independent limitations period analysis. Therefore, they further submit that Ms. Ng's pecuniary cause of action is statute-barred because that cause of action was discovered or was discoverable very soon after the accident and its limitation period has run its course. For this conclusion, the defendants say that there is no genuine issue for trial.
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[19] In this last regard, it may be noted that pursuant to s. 5(2) of the Limitations Act, a person is presumed to have known of the matters referred to in s. 5(1)(a) of the Act on the day

the act or omission on which the claim is based took place, unless the contrary is proved. In any event, I agree with the defendants that there is no genuine issue for trial that very shortly after the accident, Ms. Ng knew that she had suffered pecuniary damage caused by the car accident, and she knew the identity of the tortfeasor but she did not commence her action until more than two years had past from the time of the discovery of her pecuniary damages.

[20] However, for the reasons that follow, I do not agree with the defendants' argument that there is no genuine issue for trial that her claims for pecuniary losses are statute-barred.

[21] I repeat that I accept that an effect of the Chenderovitch judgment is that it recognized that there are separate causes of action for pecuniary and non-pecuniary losses under the Insurance Act scheme for automobile accident claims. However, in my opinion, it does not follow from the Chenderovitch judgment that each cause of action receives an independent limitations period analysis.

[22] In my opinion, the spirit and thrust of the Chenderovitch judgment is that with respect to the operation of limitation provisions, a plaintiff with an automobile accident claim should receive the most favourable treatment possible, and this means that the measure of whether he or she has a claim is governed by the discoverability of the claim for non-pecuniary damages, which is the claim that is subject to the threshold test. This approach, in effect, continues the approach from Peixeiro. In practical terms, the pecuniary claims may shelter under the limitation period for the non-pecuniary claims if those claims are not statute-barred.

[23] The effect of the Chenderovitch judgment is that insurance and limitation period legislation should not be read in a way that lays a limitation trap to prevent accident victims from pursing their significant damage claims. That reading of the effect of the legislation and of the Chenderovitch judgment avoids the anomaly of a limitation period barring claims arising from the same act of negligence

in a piecemeal fashion.

[24] Although the policy, legal and interpretation problems in Chenderovitch v. John Doe are similar to those of the case at bar, the factual situation and the precise problem in Chenderovitch v. John Doe were different from those of the case at bar. In Chenderovitch, the plaintiffs abandoned their claim for pecuniary damages and wished to proceed with their claim for non-pecuniary losses. The defendant, using the temporal measure of the abandoned pecuniary damages claim, argued that the plaintiff's claim for non-pecuniary damages was statute-barred. The [page78]defendant's argument in Chenderovitch was that because there is only one cause of action, the running of the limitation period for the non-pecuniary damages claim (subject to the threshold) is the same as that for the discovered and discoverable pecuniary damages claim (not subject to the threshold). Justice Moldaver rejected this argument by negating its premise that there is only one cause of action.

[25] In contrast, in the case at bar, Ms. Ng has abandoned some of her heads of damages but she continues to seek both pecuniary and non-pecuniary heads of damages, but at this juncture of a motion for a partial summary judgment, the defendants' focus of attention is on only Ms. Ng's pecuniary claims. In the case at bar, the defendants are not making the argument that failed in Chenderovitch. The defendants' argument in the case at bar is that given the holding in Chenderovitch that there are two causes of action, the limitation period for the pecuniary claims, standing independently of the non-pecuniary claims, has run its course. At trial, the defendants will argue that the limitation period for the non-pecuniary claims, standing independently of the pecuniary claims, has also run its course.

[26] If the defendants' argument is correct, it would create another limitation period trap for plaintiffs and yield anomalous and unfair results. The product of their argument would compel accident victims in virtually every case to sue within two years of an accident to protect their potential pecuniary and potential non-pecuniary claims. Although

pecuniary damages are not subject to a threshold, practically speaking, it may not be worthwhile for a plaintiff to sue for his or her pecuniary losses unless there is a non-pecuniary claim that would satisfy the threshold for non-pecuniary claims. Moreover, practically speaking, a plaintiff may not know that he or she has a pecuniary claim worthy of a lawsuit until he or she becomes aware that the injuries are extensive enough to satisfy the threshold test. However, if the defendant's argument is correct, plaintiffs would have to sue within two years of the accident for all their potential claims and not wait to see if there was a worthwhile pecuniary claim.

[27] The case at bar demonstrates the anomalous and unfair result of applying the limitation period piecemeal to the plaintiff's claims arising from the same incident. Assuming Ms. Ng is successful in her non-pecuniary claim, which is to say that she proves her negligence claim and avoids the limitation period and threshold defences, she will be compensated for only some of her losses. This result thwarts the purposes of tort law of proving adequate compensation for victims of negligence, and the result cannot be justified by any of the rationales for limitation statutes. [page79]

[28] Justice Moldaver, at para. 27 of his judgment in Chenderovitch, noted that the Supreme Court of Canada in M. (K.) v. M. (H.), [1992] 3 S.C.R. 6, [1992] S.C.J. No. 85, at paras. 21-24, identified three rationales for limitation periods: (1) certainty or repose, the right to be secure against stale claims and to plan for the future without the uncertainty of potential liability; (2) evidentiary, evidence may be lost or degrade and the search for truth impaired if an action is not brought in a timely fashion; and (3) diligence, the expectation that plaintiffs will not be lazy in pursuing their legal rights. None of these purposes is achieved if a limitation statute is applied piecemeal to damages arising from one occurrence of negligence.

[29] In Chenderovitch, Justice Moldaver described some of the purposes and effects of Bill 59, of which the same can be said of Bill 198. He stated, at paras. 19 to 22:

As is apparent, in enacting Bill 59, the legislature was concerned with fairness to accident victims who had theretofore been unable to recover lost income because they were precluded from doing so under Bill 164 or prevented from doing so under Bill 68 due to the limited nature of their injuries. Now, under s. 267.5(1), such victims could commence an action for loss of income or loss of earning capacity without regard to the severity of their injuries, the only caveat being that they could not claim for the first seven days of loss. Non-pecuniary claims, on the other hand, remained tied to the severity of the injuries. Under s. 267.5(5), such claims were foreclosed to victims whose injuries did not reach the "permanent and serious" level of severity.

The foregoing "historical overview" shows that Bill 59 was designed to enhance the rights of accident victims, not detract from them. No counter-balancing was intended. The purpose of the legislation was to enable accident victims to recover pecuniary damages without regard to the severity of their injuries; it was not to lay a limitation trap to prevent them from recovering legitimate non-pecuniary damages.

And yet, that is precisely what would occur if Budget's "single cause of action" paradigm were to be accepted. Accident victims with a substantial non-pecuniary damage claim for serious permanent injuries not discoverable within two years of a discoverable pecuniary loss would be statute-barred if, by choice or chance, they failed to pursue the pecuniary claim, regardless of its size or consequence, within the limitation period. Likewise, victims with a substantial non-pecuniary claim for permanent serious injuries not discoverable within two years of a discoverable pecuniary loss might well be precluded from asserting such a claim if, having brought the pecuniary loss claim within the applicable limitation period, they either settled that claim or obtained judgment on it before the non-pecuniary claim became discoverable (Cox v. Robert Simpson Co. Ltd. (1974), 1 O.R. (2d) 333 (Ont. C.A.) at pp. 334-35.

Measured against the purpose of Bill 59, these examples cause me to turn away from the "single cause of action" paradigm proposed by Budget. In short, I am satisfied that in enacting Bill 59, the legislature did not intend to lay a limitation trap to prevent accident victims, with pecuniary losses, from pursuing significant non-pecuniary damage claims. [page80]

[30] In Chenderovitch, the Court of Appeal negated the limitation period trap for the non-pecuniary claim, which Justice Moldaver concluded was not to be impaired by the plaintiff's awareness of a pecuniary claim. Justice Moldaver said in para. 2 of his judgment that the appeal was narrow in focus. The Court of Appeal did not address (because it did not have too) how the limitation period should be reckoned for the pecuniary claim. The court only addressed the running of the limitation period for the non-pecuniary damages. However, in my opinion, for Bill 59 and Bill 198 to enhance the rights of accident victims and not detract from them, for the Bills to not create limitation period traps, and for the Bills to avoid anomalies and unfairness, the legislation should be interpreted in the same manner as in Peixeiro, where the running of the limitation period was measured against the discoverability of the threshold claim.

[31] Applying the Peixeiro approach to the case at bar, there is a genuine issue for trial about whether the claim for non-pecuniary damages is statute-barred and this, in turn, means there is a genuine issue for trial about the non-threshold claims for pecuniary damages. In my view, this is a fair result. If the threshold claim is not timely then all the claims should be statute-barred, and, conversely, if the threshold claim is timely, then it is just that all the claims should go forward. This approach respects the rationales for limitation periods. It is also supported by the judgments of Justice Epstein in Fuller v. McCartney (2003), 63 O.R. (3d) 393, [2003] O.J. No. 545 (S.C.J.) and Justice Gauthier in Burke-Smith v. Sun (2003), 64 O.R. (3d) 525, [2003] O.J. No. 1566 (S.C.J.). Both of these cases were decided before Chenderovitch, but Justices Epstein and Gauthier rejected the argument that the operation of the limitation period for the

pecuniary damages could be different from the operation of the limitation period of the non-pecuniary claim and both justices appreciated that to do so would not advance the certainty, evidentiary and diligence rationales for limitation periods.

[32] It may be noted that under this approach, the defendants' limitation period defence may yet succeed; however, success or failure will not be piecemeal.

[33] I, therefore, dismiss the defendants' motion for a partial summary judgment. If the parties cannot agree about the costs for this motion, they may make submissions in writing beginning with the plaintiffs within 20 days of the release of these reasons for decision to be followed by the defendants' reply within 20 days.

Motion dismissed.